

Project proposal: Constructive Activism at FIGS

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Company name: FIGS Inc. (NYSE: FIGS). FIGS is a direct-to-consumer (DTC) healthcare apparel brand that designs, manufactures, and sells premium, proprietary medical scrubs and lifestyle apparel.

Project title: Constructive Activism at FIGS: Correcting Capital Misallocation and Forcing a Turnaround-First Mandate with Conditional B2B Upside.

Why we chose this company / project: We chose this company because the market is pricing FIGS for retail perfection, blinding itself to a structural decline toward a \$7.00 fundamental floor. The threat to FIGS is not insolvency, but the permanent loss of its premium valuation due to ROIC degradation. The activist slate must execute a strict, two-stage intervention. First, it enforces a \$47.8 million 'Operational Recovery Mandate' to halt capital incineration -specifically the \$17M retail CapEx drain- and protect the core DTC cash cow. Second, the company must earn the right to execute a B2B utility pivot. B2B upside, with a \$18.20 target valuation, is a conditional option governed by strict cash hurdles, not an assumed guarantee, preventing management from using enterprise growth as a smokescreen for core DTC decay.

Transformation challenge

The key challenge facing FIGS is acute strategic fragmentation. Driven by an undisciplined pursuit of multiple capital-intensive growth vectors, management is attempting to scale physical retail locations ("Community Hubs"), launch non-core lifestyle product lines (such as footwear and outerwear), and expand international logistics networks simultaneously.

This capital misallocation is of critical importance because it actively incinerates the free cash flow generated by the company's core DTC scrubwear moat. The financial consequences are glaringly evident on the balance sheet. By late 2025, inventory ballooned to over \$150 million, driving inventory turnover down to approximately $1.55x^2$. This inefficiency traps vital capital on warehouse shelves. Furthermore, the push into non-medical outerwear introduces severe fashion and markdown risks, culminating in a \$5.6 million inventory write-off and a precipitous 440

basis-point collapse in gross margins to 62.9% in Q4 2025¹. Consequently, the company's Return on Equity (ROE) degraded to a dismal 2.0% to 4.5% range². If this strategic drift is not arrested, FIGS will permanently impair its balance sheet and surrender its pricing power within an increasingly commoditized apparel industry.

Tool

First, we utilized a DuPont Analysis to mechanically isolate the drivers of the ROE collapse.

Applying Charlie Munger's inversion principle -namely, asking what actions guarantee the destruction of shareholder value rather than its creation- the DuPont breakdown proves that FIGS' deteriorating return profile is entirely self-inflicted. The equation explicitly links ROE degradation to an asset turnover drag (driven by inventory bloat from lifestyle SKUs) and net margin compression (driven by the logistics costs of physical retail). This directly disproves management's narrative that external macroeconomic and tariff headwinds are the sole culprits³. This mechanical diagnosis aligns with the most rigorous sell-side skepticism; notably, Goldman Sachs recently maintained a "Sell" rating with a \$7.50 price target, explicitly citing the structural margin compression and inventory bloat that the broader market's current ~80x trailing P/E valuation is blindly ignoring³.

Second, we constructed a Discounted Cash Flow (DCF) valuation model to quantify the market mispricing and the financial friction of the proposed strategic pivot (see **Exhibits 1 and 2**). This tool allowed us to explicitly model the near-term margin compression associated with restructuring the sales force, bridging the gap between the status quo intrinsic value and our target exit valuation.

Third, we applied Constructive Activism Frameworks. FIGS is a "controlled company" featuring a dual-class share structure where the founders hold Class B shares that carry 20-to-1 voting rights¹. Because traditional hostile proxy tools are structurally invalid against the founders' 20-to-1 voting rights, we adapted our framework to rely on Asymmetric Economic Leverage. Rather than relying on a proxy majority, this strategy weaponizes the 85% evaporation of founder wealth

and the rigorous \$47.8 million cash-flow gap. This framework bypasses the need for a proxy majority by presenting the board with an unavoidable economic imperative to halt value-destructive retail CapEx.

Project overview and design

We frame FIGS' transformation as a two-phase process: 1) a restructuring to restore ROIC and protect the core DTC business, and 2) a conditional B2B pivot treated as a real option, not an assumed growth path.

Data collected and analyzed: Our analysis relies strictly on archival financial data, industry benchmarking, and expert commentary. We extracted 2020-2025A historical financials, segment reporting, and capitalization data from Capital IQ². To contextualize FIGS' performance against the broader consumer landscape, we integrated metrics from the Retail-Internet dashboard and Plunkett Research peer analyses, specifically evaluating Long-Term Active Buyers, Customer Acquisition Cost (CAC) trends, and competitive revenue multiples^{2,3}. To validate unit economics, payback periods, and the structural friction of healthcare enterprise sales, we analyzed Tegus expert call transcripts featuring former FIGS Supply Chain and B2B executives⁴.

Crucially, our analytical approach extended beyond quantitative metrics to a forensic evaluation of FIGS' 2025 quarterly earnings transcripts (Q1 through Q4). To force a transformation, an activist must expose the "Say/Do Gap"-the contradictions in management's narrative that mask deteriorating unit economics. Our review reveals a severe shift from aggressive expansionism to defensive posturing, justifying immediate board intervention:

- **Inventory contradiction and supply chain reality:** CEO Trina Spear claimed cash flow is "*strong enough*" to support retail, international, and enterprise expansion simultaneously. Yet in Q1 2025, management explicitly downplayed inventory risk, assuring investors: "*There's less risk to FIGS because it is a uniform business, and FIGS is not necessarily trend-based.*" A former FIGS Supply Chain Manager confirmed that fabric lead times range from 60 to 90 days, creating a six-month production cycle structurally incompatible with volatile lifestyle trends. By Q4, management was forced to recognize a \$5.6 million write-off for "broken and aged inventory"¹. This contradiction

proves that pushing lifestyle outerwear introduces the exact fast-fashion obsolescence risk they claimed to avoid, directly driving the 23% YoY inventory bloat.

- **Marketing efficiency smokescreen:** Early 2025 transcripts aggressively touted top-of-funnel brand-building and high-profile Olympic sponsorships. By Q4, the rhetoric pivoted defensively toward retention and "word-of-mouth" dynamics¹. This qualitative shift is a smokescreen for deteriorating unit economic. As a former FIGS Financial Officer highlighted, pure-play DTC companies constantly fight an "*inherent leaky bucket*" of customer retention. The pivot in messaging signals that domestic Customer Acquisition Cost (CAC) has hit a saturation ceiling, rendering the "growth-at-all-costs" DTC marketing budget highly dilutive and cementing the urgent need to defend the core franchise and test a conditional B2B pivot
- **International margin drag:** Management celebrated 55% international top-line growth in Q4, targeting over 80 total markets in 2026¹. However, they persistently omit the regional margin profile. Shipping low-value apparel across borders without localized 3PL infrastructure is structurally dilutive. Given the 440-basis-point collapse in overall Q4 gross margins, it is evident that international expansion is functioning as an unprofitable vanity metric designed to distract from slowing domestic DTC growth.

Proposed transformation journey: The transformation must acknowledge the structural reality of FIGS: because the founders hold Class B shares with 20- to-1 voting rights, traditional hostile proxy mechanics are invalid. However, this absolute control does not eliminate governance pressure. While the Business Judgment Rule provides broad protection, the continued authorization of capital-intensive retail hubs despite weak returns and documented inventory negligence, including the \$5.6 million write-off, materially weakens the board's public credibility and strengthens an activist argument that capital allocation discipline has broken down. With the stock compressing toward the \$7.50 fundamental floor, the activist strategy relies on asymmetric

economic leverage: forcing the board to recognize that continued value-destructive capital allocation imposes a direct economic cost on founders and minority holders alike.

This leverage enforces an unavoidable \$47.8 million "Operational Recovery Mandate" to restore historical FY2022 profitability. To achieve this, the activist slate demands an immediate halt to the \$17 million physical "Community Hubs" CapEx. Simultaneously, the company will take a Q3 2026 restructuring charge to aggressively liquidate the non-core 19% of inventory tied to lifestyle apparel.

Only after this financial bleeding is stopped should FIGS test the B2B2C Stipend Portal Pivot. This pivot aims to secure 3-to-5-year uniform relationships by integrating digital ordering into hospital payroll or stipend workflows, potentially as an employer-subsidized benefit tied to retention and recruiting goals. However, rather than assuming frictionless zero-CAC renewals from the outset, this pathway must be governed by strict cash hurdles. The activist slate will enforce a binary operating rule: any enterprise deployment that cannot clear a \$30,000 net cash flow hurdle in Year-1 is immediately terminated (see **Appendix 3**: Kill criteria). Until TEAMS demonstrates standalone unit economics, it remains a speculative cash drain and must not distract from defending the core DTC franchise and its historical cash-flow generation.

Discussion and recommendations

Our model explicitly separates the base-case turnaround from the transformation option value.

The primary, underwritten value bridge derives from halting the \$17 million retail CapEx drain and recovering historical margin discipline through SKU rationalization (see **Figure 1**).

However, for FIGS to re-rate to a premium multiple, the company must successfully execute the B2B2C pivot. This requires absorbing severe institutional toll-gating (e.g., Workday/SAP API fees), which our model projects will structurally contract realized B2B Gross Margins to approximately 58.5%. This compression is compounded by a structural go-to-market constraint: Tier-1 hospital ERP systems (Oracle, SAP, Workday) use LCTA (Lowest Cost Technically

Acceptable) algorithms that automatically filter out any SKU priced above the \$12–\$18 "General Medical Apparel" threshold. At \$38–\$48 per top, FIGS is invisible to institutional buyers before a human decision-maker ever sees the product. To bypass this gate, the stipend portal must be reclassified from the hospital's Medical Supplies budget to the HR/Retention budget; a price-inelastic category where a \$300 annual uniform stipend is a rounding error against the \$52,000+ cost of a single nurse turnover event. This reclassification preserves the brand premium but extends the B2B sales cycle from approximately 6 months to 14 months and requires tripartite MSAs between FIGS, the hospital, and the ERP aggregator. Yet, this is a highly accretive trade-off. By amortizing implementation friction over 3-year cycles, the Customer Acquisition Cost (CAC) functionally drops to zero on renewals. We are sacrificing 800 basis points of gross margin to capture an overwhelming reduction in Sales & Marketing bloat.

To operationalize this transformation, management must follow a disciplined first-100-day execution plan (see **Appendix 4**, Figure 3). Immediately, the company should halt all retail “Community Hub” CapEx, freeze non-core lifestyle SKU expansion, and announce a restructuring charge to liquidate excess inventory. Simultaneously, this 100-day sprint must establish the foundation for the B2B pivot by selectively launching three to five targeted B2B stipend pilot partnerships while building a lean enterprise sales capability and rigorously tracking unit economics, including LTV/CAC and payback periods. Critically, capital discipline must be enforced through a strict kill-switch: any pilot that fails to generate at least \$30,000 in Year-1 net cash flow should be terminated. This phased approach ensures that the transformation remains self-funded and prevents speculative enterprise expansion from undermining the core DTC business.

The execution of this trade-off follows a strict temporal sequence. Year 1 is defined by the financial J-Curve: the company will absorb the upfront SG&A burden of building the enterprise sales infrastructure while simultaneously recognizing the Q3 restructuring charges for legacy inventory. During this period, operating margins will artificially compress. Crucially, however,

this bifurcated strategy protects the balance sheet. Because the halted retail CapEx immediately accrues to free cash flow, the turnaround is entirely self-funding. If the B2B2C pilots fail to clear the strict \$30,000 cash flow hurdles, the enterprise program is terminated without permanently impairing the company's \$300.8 million cash hoard. Under this downside scenario, the activist slate will simply pivot to a capital return mandate, utilizing the protected free cash flow to aggressively repurchase shares at the depressed status quo valuation. The most significant unresolved risk underlying both scenarios is whether FIGS' historically demonstrated 66% gross margin is a stable, recoverable anchor or a lagging indicator of brand erosion already underway from sustained 30%-off discounting behavior. If the brand premium is mostly intact, the turnaround margin bridge targets are fully achievable. If discounting has retrained the customer base to expect promotional pricing, the recovery ceiling must be set conservatively. Our turnaround thesis is designed to hold under either scenario; the distinction affects the ambition of the recovery target, not the direction of the intervention.

Based on our DCF model, the status quo intrinsic value -assuming a 2% terminal growth rate and fading margins- is anchored at ~\$7.00 per share (see Exhibit 1), in line with consensus estimates. If the board enforces the Operational Recovery Mandate, it anchors the stock's fundamental floor. The \$18.20 target valuation represents a conditional bull-case scenario. This target materializes only if pilot economics successfully clear the \$30,000 implementation hurdles and prove that the zero-CAC renewal profile can offset the initial gross margin compression, ultimately driving terminal EBITDA margins to 19% and justifying an 18.2x EV/EBITDA exit multiple (see **Exhibit 2** for DCF and **Exhibit 3** for the equity bridge). By separating these two components, the activist prevents management from using speculative enterprise growth to mask core operational decay, forcing them to focus first on defending the core DTC cash flow.

FIGS Valuation Bridge: Executing the Utility Pivot via Capital Conservation and B2B Stipend Integration

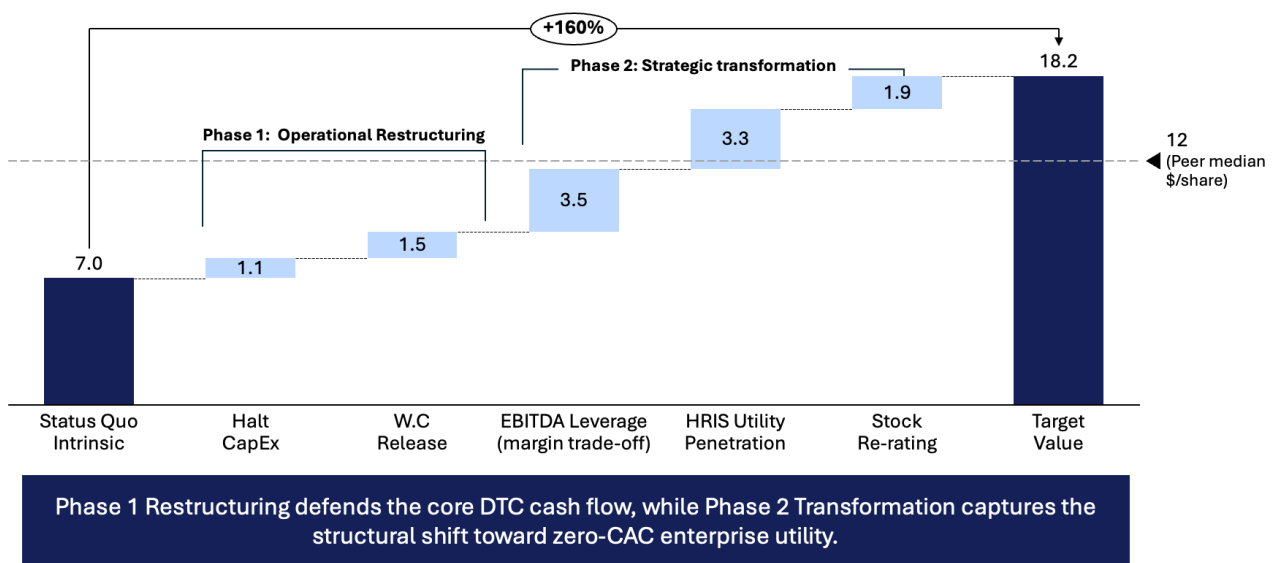


Figure 1. Intrinsic Value Scenario Bridge. The waterfall illustrates the potential per-share value unlock, bifurcated into two phases. The Turnaround Phase (+\$2.55) is driven by management-controlled actions: halting retail CapEx and SKU rationalization. The conditional Transformation Phase (+\$8.65) represents the bull-case utility pivot, contingent on B2B2C pilots clearing strict Year-1 cash-flow hurdles and successfully offsetting institutional platform tolls through 0-CAC operating leverage.

Actionable recommendations, risks, and contingencies

Smart investors could reasonably disagree with this thesis by pointing to the pricing power of incumbents. Legacy providers like Cintas hold massive economies of scale and could respond with predatory pricing, bundling scrubs at zero margin to protect their lucrative facility services contracts⁵. Furthermore, defense bankers will highlight the asset-light multiple paradox. Cintas commands an 18x multiple precisely because its heavy industrial infrastructure creates hard physical switching costs. Because FIGS relies on third-party logistics, its switching costs are purely digital and brand-based. If competitors successfully clone the stipend portal technology, the market may refuse to grant FIGS the industrial utility premium, dragging the exit multiple back toward the 12x direct-retail median. As a mitigant, FIGS must target the hospital's human resources and employee-retention budgets rather than the procurement budget. The actionable advice to management is to pitch hospital CFOs on the premise that providing premium FIGS scrubs reduces nursing turnover, thereby saving the hospital significantly more in recruiting costs than they spend on the uniform premium.

A secondary risk is hospital procurement strictness. Proving the ROI of a premium scrub brand to a margin-strapped healthcare administrator is exceptionally difficult. Management should mitigate this by exclusively targeting private, high-margin specialty clinics (such as concierge medicine and plastic surgery) to establish enterprise proof-of-concept before attempting to penetrate massive networks like Kaiser Permanente.

If we were to conduct follow-up work, it would entail a detailed cohort analysis comparing the Lifetime Value to Customer Acquisition Cost (LTV/CAC) ratios of nurses purchasing via hospital stipend portals versus traditional DTC out-of-pocket buyers, validating the zero-CAC assumption in our terminal margin sensitivities.

A final strategic risk is the inherent trade-off between brand equity and enterprise utility. Smart operators will rightly argue that shrinking FIGS' consumer footprint to focus on B2B sales risks eroding the "cool factor" that allows the company to charge a premium over generic scrubs. If FIGS loses its brand heat, the B2B2C portal loses its appeal to nurses spending their stipends. Management can mitigate this by appropriately sizing its capital allocation rather than abandoning the consumer brand entirely. FIGS must maintain its brand cachet through highly targeted, high-ROI digital marketing and limited-edition core color drops, while simultaneously freezing the capital-incinerating physical retail buildouts and fast-fashion outerwear lines. This compromise optimizes for Return on Invested Capital (ROIC) while protecting the core brand moat.

Conclusion

This project underscores several critical principles of turnarounds and transformations examined throughout the course. First, turnarounds are fundamentally mathematical, not merely narrative. Strategic critiques must have explicit connective tissue to the income statement. The concept of "diworsification" is verified mechanically through the degradation of asset turnover within the DuPont framework.

Second, the project highlights the unavoidable friction of the J-Curve and the margin fallacy.

Realigning a Go-To-Market strategy guarantees near-term margin compression -in this case, the activist explicitly underwrites the voluntary sacrifice of 800 basis points of gross margin to pay institutional platform tolls. True transformation requires both management and investors to possess the discipline to underwrite this initial financial pain for the long-term structural gain of zero-CAC EBITDA leverage.

Finally, governance dictates strategy. Identifying operational flaws is insufficient if the corporate structure prevents intervention. In cases involving dual-class voting control, the tools of transformation must shift from brute-force financial engineering to relational, consensus-building activism. Ultimately, capital allocation is the ultimate moat. True organizational transformation often requires ruthlessly shrinking the business (i.e., cutting CapEx and liquidating non-core operations) to grow its intrinsic value.

Appendix 1. Financials

Exhibit 1. Discounted Cashflow Model for Status quo scenario

	2025A	2026E	2027	2028	2029	2029
1 Revenue	628	659.4	685.8	706.3	720.5	734.9
2 YoY Growth %	-	5%	4%	3%	2%	2%
3 Gross Margin %	66.50%	65%	64.5%	64%	64%	64%
4 Gross Profit	417.6	428.6	442.3	452.1	461.1	470.3
5 SG&A % of Rev	56.50%	57%	56%	55%	54%	54%
6 SG&A Expense	-354.8	-375.9	-384.0	-388.5	-389.1	-396.8
7 EBITDA	62.8	52.8	58.3	63.6	72.0	73.5
8 D&A	-15	-18	-20	-22	-22	-22
9 EBIT	47.8	34.8	38.3	41.6	50.0	51.5
10 Taxes	-12	-8.7	-9.6	-10.4	-12.5	-12.9
11 NOPAT	35.9	26.1	28.7	31.2	37.5	38.6
12 (+) D&A Add-back	15	18.0	20.0	22.0	22.0	22.0
13 (-) CapEx (Retail Build)	-12	-17.0	-15.0	-15.0	-14.0	-14.0
14 (-) Change in NWC	-10	-8.0	-5.0	-3.0	-2.0	-2.0
15 Unlevered FCF	28.9	19.1	28.7	35.2	43.5	44.6

This baseline model reflects the company's current operational trajectory, aligned with consensus sell-side estimates² forecasting continued gross margin pressure and elevated capital expenditures. The model assumes fading EBITDA margins that stabilize at ~11% and a conservative 2% terminal growth rate, anchoring the status quo intrinsic value at ~\$7.00 per share.

Exhibit 2. Discounted Cashflow Model for Activist scenario

	2025A	2026E	2027	2028	2029	2030
1 Revenue	628	640.6	679.0	719.7	791.7	870.9
2 YoY Growth %	-	2%	6%	6%	10%	10%
3 Gross Margin %	66.50%	63%	66%	59%	58.5%	58.5%
4 Gross Profit	417.6	403.6	448.1	421.0	463.1	509.5
5 SG&A % of Rev (J-Curve)	56.50%	57%	56%	39.5%	39.5%	39.5%
6 SG&A Expense	-354.8	-365.1	-380.2	-284.3	-312.7	-344.0
7 EBITDA	62.8	38.4	67.9	136.7	150.4	165.5
8 D&A	-15	-15	-12	-10	-10	-10
9 EBIT	47.8	23.4	55.9	126.7	140.4	155.5
10 Taxes	-12	-5.9	-14.0	-31.7	-35.1	-38.9
11 NOPAT	35.9	17.6	41.9	95.1	105.3	116.6
12 (+) D&A Add-back	15	15.0	12.0	10.0	10.0	10.0
13 (-) CapEx (Zero Retail)	-12	0.0	-5.0	-5.0	-5.0	-5.0
14 (-) Change in NWC	-10	25.0	-2.0	-4.0	-5.0	-5.0
15 Unlevered FCF	28.9	57.6	46.9	96.1	105.3	116.6

This model quantifies the financial execution of the activist mandate and the subsequent B2B utility pivot. It explicitly underwrites a structural contraction of realized gross margins to ~58.5% to account for the unavoidable Workday/SAP platform tolls and the \$30,000 Year-1 implementation hurdles. Despite this gross margin compression, the model assumes that zero-CAC renewals drive overwhelming operational

leverage in the out-years. This trade-off expands terminal EBITDA margins to 19%, justifying an 18.2x industrial utility exit multiple and a target intrinsic value of ~\$18.20 per share.

Exhibit 3. Value creation under Activist scenario (\$)

	Status quo	Activist
1 PV of Forecast FCF	125	308
2 Normalized Terminal FCF	45	117
3 Terminal Value (TV)	569	1716
4 PV of Terminal Value	353	1065
5 Enterprise value	922	2781
6 Total Cash & ST	300.8	300.8
7 Total Debt	60	60
8 Implied Equity Value	1163	3022
9 Shares outstanding	166.4	166.4
10 Implied Share price	7.0	18.2
11 Value creation (\$) / share	11.2	

This reconciliation bridge illustrates the asymmetric leverage created by FIGS' \$300.8 million cash hoard; a position that currently acts as a fiduciary trap for the controlling founders. It mechanically adjusts the target enterprise value to reflect the company's highly liquid balance sheet, adding back \$300.8 million in cash/ST investments and deducting \$60.0 million in lease liabilities across 166.4 million shares. This bridge proves that with disciplined capital allocation and the execution of the \$47.8 million EBITDA recovery mandate, the path to \$18.20 is a conditional upside path if pilot economics clear stated hurdles.

Appendix 2: Methodology and discarded initiatives

This appendix documents the major strategic hypotheses our team evaluated, stress-tested through structured adversarial debate, and either adopted or discarded. Each entry records the hypothesis, the evidence for and against, the trade-off structure, and the final disposition.

The purpose is transparency: a turnaround recommendation is only as credible as the alternatives it has honestly killed.

1. Governance approach: Hostile proxy vs. Constructive leverage

HYPOTHESIS: Acquire a blocking stake and launch a traditional proxy campaign to replace board members.

FOR:

- ROE collapsed to 2.0-4.5%; clear grounds for shareholder activism.
- Stock decline from ~\$50 to ~\$7 signals acute market distrust.
- \$5.6M inventory write-off provides evidence of mismanagement.

AGAINST:

- FIGS is a controlled company: Class B shares carry 20:1 voting rights. The founders hold an absolute, immutable veto.
- No hostile proxy fight can succeed.
- Hostile posture burns political capital with founders whose cooperation is required for any operational change.

DISPOSITION: **DISCARDED**.

Replaced with Asymmetric Economic Leverage. The founders' personal wealth has evaporated by 85%. The \$47.8M annual EBITDA gap is a measurable drain on intrinsic value that founders cannot vote away. The mechanism shifts from "force compliance" to "present an unavoidable economic imperative."

2. Thesis structure: Full B2B2C Pivot vs. Conditional option

HYPOTHESIS: FIGS should aggressively pivot to a B2B2C hospital stipend portal model, replacing DTC marketing with zero-CAC institutional renewals. This would justify reclassification to "healthcare utility" at an 18.2x EV/EBITDA multiple.

FOR:

- 85% of healthcare professionals buy their own uniforms.
- Nurse turnover costs \$52K+/clinician; a \$300 FIGS stipend is a 173x ROI vs. replacement cost.
- B2B2C structurally eliminates ~\$85/customer CAC on renewals.
- Trade: sacrifice 800 bps gross margin to capture 1,600 bps S&M savings = net +800 bps EBITDA.

AGAINST:

- TEAMS is confirmed as "a smaller piece of the overall business." No revenue figure, margin profile, or contract count exists.
- HRIS integration timelines: 6-24 months. Middleware fees: \$30K- \$75K per deployment. Competitors undercut by ~30% in RFPs.
- The "zero-CAC" assumption requires implementation costs to amortize over recurring stipend cycles - an unverified premise.
- Hospital ERP systems use LCTA (Lowest Cost Technically Acceptable) algorithms. FIGS' \$38-\$48/top is ~250% above the "Medical Supplies" threshold (\$12-\$18). FIGS is structurally filtered out before a human decision-maker sees the product.

DISPOSITION: DOWNGRADED FROM PRIMARY TO CONDITIONAL (PHASE 2).

B2B2C is retained as a real option governed by strict \$30K net cash flow hurdles per deployment in Year 1. The primary thesis is capital discipline: halt CapEx, liquidate lifestyle inventory, restore the core DTC cash cow. Only after Phase 1 stabilization should FIGS test the B2B pivot with 3-5 targeted pilots.

This was the single most important analytical pivot. Early versions treated B2B2C as the headline thesis. Stress-testing exposed that the unit economics rest on unverified assumptions. The final framework separates the "certain" turnaround value (\$7 -> ~\$9.55 floor) from the "conditional" transformation value (\$9.55 -> \$18.20 ceiling).

3. Analytical method: Granular Forensics vs. Aggregate Cash Gap

HYPOTHESIS: Diagnose precise margin degradation drivers through SKU-level cost attribution, store-level ROIC, and initiative-level SG&A allocation.

FOR:

- Precise diagnosis enables targeted surgical intervention.
- Boards and investors prefer specificity.

AGAINST:

- The data does not exist in the public domain. FIGS reports as a single segment. 4-wall ROIC for Community Hubs has never been disclosed. SKU-level aging is unavailable. Initiative-level SG&A waterfall is not provided in any filing.
- Attempting forensic cost accounting without the data produces false precision that any adversarial review immediately exposes.

DISPOSITION: DISCARDED.

Replaced with "Structural Arbitrage." We quantify the aggregate cash flow gap: \$47,849,802 annually (FY2022 17.19% EBITDA margin applied to FY2025 \$550M revenue, minus FY2025 guided 8.5% EBITDA). Management cannot dispute their own historical performance or their own current guidance. This forces accountability for the total gap without requiring consensus on its composition.

4. Community Hubs: Continue Expansion vs. Halt CapEx

HYPOTHESIS: Community Hub physical retail expansion (Houston, NY, Chicago planned) builds brand equity and drives acquisition.

FOR:

- ~40% of hub customers are new to FIGS.
- ~30% of acquired hub customers become omnichannel purchasers.
- Physical presence builds awareness (aided awareness only ~50%).

AGAINST:

- No 4-wall ROIC, payback period, capital cost per store, or store-level contribution has ever been disclosed.
- The 40%/30% metrics are top-of-funnel only. They do not prove hubs are capital-accretive; only that foot traffic exists.
AlphaSense experts describe hubs as "brand billboards" and explicitly flag the missing cost-effectiveness question.
- \$17M planned CapEx diverts capital from turnaround execution.

DISPOSITION: HALT IMMEDIATELY.

First line item to freeze in the 100-day plan. Recovers \$17M in FCF. If management later demonstrates positive 4-wall ROIC, the program can be selectively restarted. Capital preservation takes precedence over speculative brand-building during a turnaround.

5. ERP entry: Medical Supplies Budget vs. HR/Retention Budget

HYPOTHESIS: FIGS can integrate into hospital ERP systems through standard procurement channels.

FOR:

- ERP integration converts one-time DTC purchases into recurring institutional contracts.
- GPO aggregators (Vizient) provide standardized vendor onboarding.

AGAINST:

- LCTA algorithms govern automated procurement in Tier-1 ERPs.
- FIGS at \$38-\$48/top is ~250% above the \$12-\$18 threshold for "General Medical Apparel." FIGS is filtered out by software before any human sees the product.
- Competitors can undercut by ~30% in formal B2B RFPs.

DISPOSITION: **RECLASSIFY THE BUDGET LINE.**

FIGS must be positioned as an HR Retention Asset, not a Medical Supply. The pitch: a \$300 annual stipend is a rounding error vs. the \$52,000+ cost of one nurse turnover event. This bypasses the LCTA filter entirely by moving the purchase to a price-inelastic budget category. Trade-off: longer sales cycle (from 6 to 14 months), more complex MSAs, ~\$4M incremental SG&A for Clinical Value Analysis capability. This insight directly informs why B2B2C is Phase 2, not Phase 1.

6. Execution: Simultaneous Turnaround + Transformation vs. Sequenced

HYPOTHESIS: Execute operational turnaround and B2B2C enterprise pivot simultaneously to accelerate the timeline.

FOR:

- Time is value: every quarter of delay extends the J-Curve.
- 6-14 month institutional sales cycles mean starting later pushes
- B2B2C revenue contribution further out.

AGAINST:

- ~300 employees cannot execute aggressive cost cuts and build enterprise sales capability at the same time.
- Stress-testing identified an internal inconsistency: the thesis used different evidentiary standards for the CapEx freeze (well-grounded in public data) and enterprise capability investment (assumption-dependent with no FIGS-specific evidence).
- If B2B2C pilots fail while the turnaround is incomplete, FIGS has burned capital on two fronts with nothing to show.

DISPOSITION: **STRICTLY SEQUENCED.**

- Phase 1 (100-Day Plan): Halt CapEx, freeze lifestyle SKUs, announce restructuring charge, liquidate excess inventory.
- Phase 2 (Conditional): Only after Phase 1 stabilization, launch 3-5 targeted pilots with strict \$30K hurdles. Any pilot that fails is immediately killed. If all pilots fail, pivot to capital return mandate (buybacks at depressed valuations).

7. Tender offer as a forcing function

Early iterations considered demanding the \$300.8M cash pile be used for a fixed-price tender at \$8.50/share to force a binary outcome.

DISPOSITION: **DISCARDED**: Too aggressive for a controlled company where cooperation is the only viable governance path. The founders' 20:1 voting makes the demand toothless, and hostile posture undermines constructive engagement. Replaced with the \$47.8M Operational Recovery Mandate, which achieves the same forcing effect through economic imperative rather than hostile mechanics.

8. Acknowledged unknowns (knowledge gaps)

The following data gaps remain unresolved and are significant for the conditional transformation thesis. They represent boundaries to respect. The turnaround case is designed to hold regardless of their resolution:

- Community Hub 4-wall ROIC and capital cost per location
- SKU-level inventory aging by product family
- TEAMS actual revenue, margin contribution, and contract pipeline
- FIGS-specific HRIS integration costs and deployment timelines
- Whether the 66% gross margin is stable or actively eroding
- Precise tariff impact separated from operational improvement
- Full SG&A allocation by strategic initiative

Appendix 3. Kill criteria framework (B2B2C Pilot governance)

Kill-switch gates for all B2B2C enterprise pilots:

- **TERMINATE** if: Year-1 net cash flow < \$30,000 per deployment
- **DEFER** if: HRIS integration timeline exceeds 18 months
- **RENEGOTIATE**: Realized B2B gross margin falls below 55%
- **PAUSE**: Aggregate B2B2C investment exceeds 5% of annual FCF

Knowing when to stop is as important as knowing when to start. If all pilots fail these gates, the activist slate pivots to a pure capital return mandate: aggressive share repurchases at depressed valuations using the protected \$300.8M cash hoard.

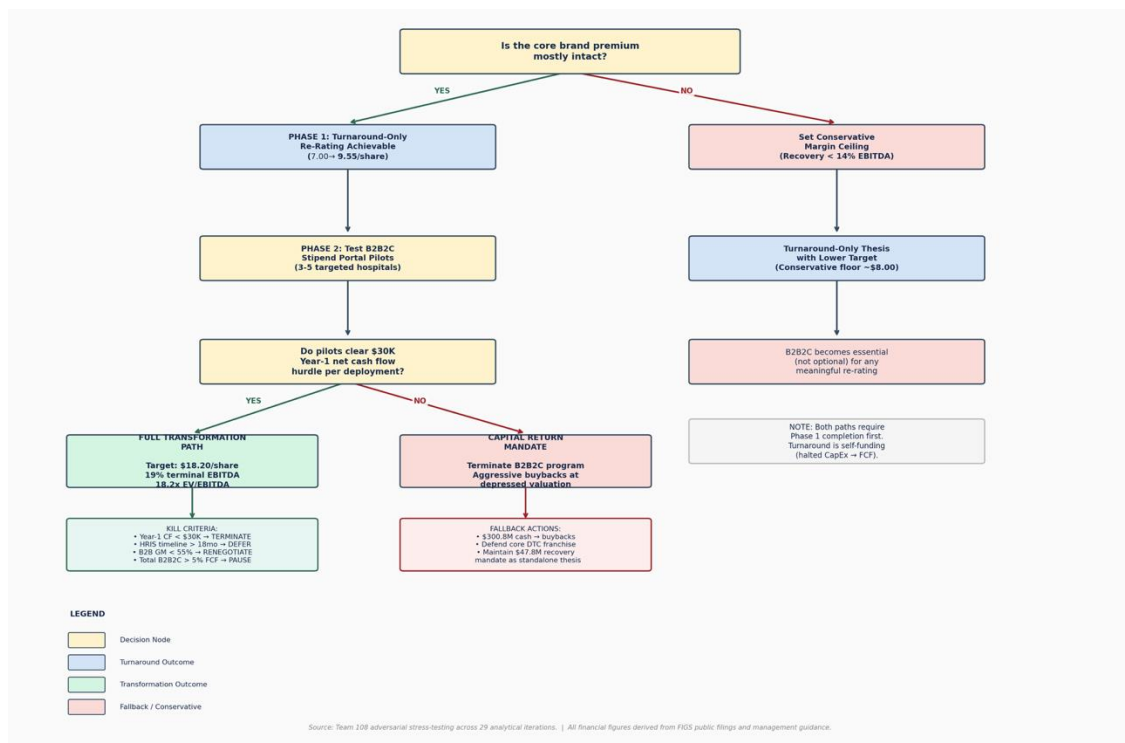


Figure 2. Scenario decision tree

Appendix 4. Governance and engagement sequence

Given the structural impossibility of hostile proxy mechanics under 20:1 Class B voting control, the engagement follows a constructive escalation ladder:

1. Private letter to board presenting the \$47.8M cash flow gap analysis and requesting a meeting.
2. Formal request for disclosure of Community Hub 4-wall ROIC, payback periods, and capital cost per location.
3. Proposal for appointment of two independent directors with enterprise healthcare procurement backgrounds.
4. If private engagement fails: public "Say/Do Gap" analysis documenting contradictions between management narrative and financial performance.
5. Capital return mandate as fallback if transformation pilots fail: share repurchases at depressed valuations.

At each stage, the leverage is the same: the founders cannot vote away an 85% wealth destruction or a \$47.8M annual cash flow gap. The economic imperative is the forcing function, not the proxy card.

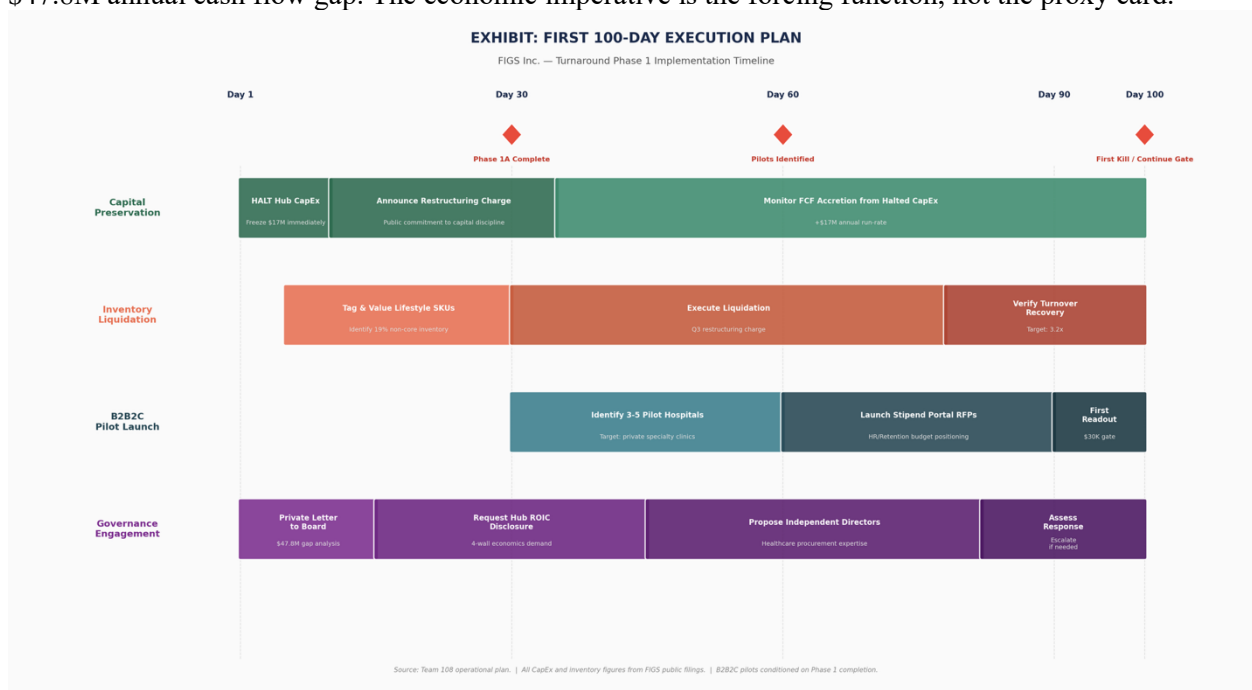


Figure 3. 100-day plan

Endnotes

¹ Harvard Business School Publishing: Case 9-824-062, "FIGS: Scrubbing the Status Quo," Rayport & Keller, February 2024.

² Tegus: Industry specific benchmarking, Take Rates, and active buyer metrics Dashboard.

³ Plunkett Research, Ltd. FIGS Inc. Financial Analysis, Benchmarks Against Industry Averages, February 2026.

⁴ Expert Interviews, Former FIGS Supply Chain and B2B Executives.

⁵ Datainsightsmarket.com and ProShares Market Research on Cintas Corporation market share and enterprise healthcare uniform dominance.